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## FACTORS INFLUENCING DECISION MAKING IN STOCK MARKET

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### **ABSTRACT:**

*This study examines the diverse factors influencing stock market investment decisions among individual investors, transcending mere financial metrics to encompass a more comprehensive understanding of investor behaviour. When we think about investing, we usually consider how money we can make. This research says that how people think and who they are can be just as important. These things can affect how people invest in the stock market. The study used a combination of methods to gather information. It mostly surveys that were given to 124 people and also looked at what other people have written about how people think about money and the stock market.*

*This ensures findings are based on both empirical evidence and established theoretical frameworks. The analysis shows that individual investors rarely make decisions purely based on rational thinking. Their choices come from a complex mix of expected returns, perceived risk, cognitive and emotional biases, and personal factors like age, income, education, and investment experience.*

*A particularly important finding is the rising importance of financial literacy as a moderating factor. Investors with better financial knowledge show greater awareness of risks, more disciplined portfolio strategies, and less vulnerability to behavioural biases. Equally important is the changing role of digital platforms, which have made it easier to enter the market and have attached a new generation of investors – specially in India's fast growing retail investment scene.*

*However, this democratization of market access also brings new risks, as less experienced participants may be more susceptible to misinformation and emotion-based decision. The findings have important implications for financial adviser and policymakers and regulators seeking to develop more effective education programmes and protective frameworks for individual investors.*

**Keywords:** Investment Decisions, Risk Perception, Behavioural Biases, Financial Literacy, Individual Investors

## Introduction

The stock market is a crucial part of the financial system, enabling the transfer of funds from investors to firms that demand funding. By transferring available funds from units with excess funds to those experiencing a funds deficit, stock markets play a crucial role in developing industries that ultimately impact the economy. This process enhances available financial resources, which in turn positively affects economic growth. (Padhi & Naik, 2012). This process supports economic growth by promoting investment increasing innovation and helping to allocate resources effectively. Individuals invest in the stock market mainly to earn returns and increase their wealth over time.

In recent years more people have participated in stock market especially retail investors the rise of financial technology has transformed how people access financial service it has removed many barriers that kept treated in western from participating in the financial market new technology are making investment more accessible to retail investors. The rise of financial technology has transformed how people access financial services. It has removed many barriers that kept retail investors from participating in financial markets. New technologies are making investments more accessible at lower costs, increasing retail investors' interest (Amundi,2023). This trend is largely driven by improvements in technology, such as online trading platforms and mobile applications, which have made the investment process easier. Financial technology has made it possible for more little investors than large investors to enter the stock market due to its low cost and ease of access, making stock markets nearly accessible, particularly for retail investors. As a result, investing is no longer limited to experienced or institutional investors individuals from diverse backgrounds are now actively involved. Understanding these influencing factors is important for promoting better decision-making among investors. It is important to understand how behavioural biases affect investment choices which is crucial for investors, financial institutions and policymakers to informed decisions and promote market stability (Almansour&Arabyat,2023).

This study aims to analyse how financial, behavioural, and demographic factors collectively impact investment decisions in the stock market.

## Literature Review

Investment behaviour has been widely examined due to its complex nature. Research shows that financial decisions are not based solely on numerical data but are also shaped by psychological and social influences (Almansour & Aryabhat, 2017; Shahzad et al., 2024).

Markowitz's (1952) modern portfolio Theory states that investors can lessen their risk through diversification of assets in order to deliver the optimal return for the level of risk they are willing to accept.

Modern portfolio Theory suggests that investors mitigate their risks through the mixing of non-correlated assets, which provides an optimal return for an investor based on their willing level of acceptable risk-based on the variance and correlation of assets prices used when establishing the creation of the portfolio with the best risk/return relationship (Markowitz's, 1952). In terms of investment decision making, Modern portfolio Theory would state that the relationship between risk and return should be considered rather than viewing individual assets in isolation. The primary premise of Modern portfolio Theory is not rely solely on the risk and return of an asset, but rather focus on how the asset impacts the risk and return of the overall portfolio. Behavioural finance provides an alternative viewpoint on investment decision making, as it considers the psychological impact of the individual on their investment decisions. Through prospect Theory, Kahneman and Tversky (1979), demonstrate that people behave asymmetrically towards losses and gains, while paying more attention to losses than gains. Prospect theory criticizes expected utility theory as a way to understand decision making under risk it offers a different model that assign value to gain and losses rather than just final asset this theory highlights that people often under value outcome that are just probable compared to certain once (Kahneman & Tversky, 1979). A main point in prospect theory is a loss aversion which means that the pain of losing fields is about twice as strong as the pleasure of gaining (Kahneman & Tversky, 1979). This leads to decisions that do not always match racial expectation previous research so that investment decisions arise from a mix of financial knowledge behaviour habits and personal traits (Suresh, 2024; Shahzad et al., 2024; Van Rooij et al., 2011).

## Research Gap

A lot of studies have looked at what affects investment decisions. There are still some big gaps in what we know about this topic. The current research, on investment decisions is missing some things. Many earlier studies have primarily focused on developed financial markets, while comparatively fewer studies have examined the behaviour of individual investors in emerging economies such as India (Karacevirgen, T. 2025). Recent scholarship has increasingly turned to the Indian stock market to address a longstanding geographical imbalance in behavioural finance research, given India's status as a rapidly growing retail investment destination (Reddy, N. D., & Santosh, B. R. 2025). Since economic conditions, financial literacy levels, and investment awareness differ across countries, the findings of studies conducted in developed markets may not always be fully applicable to investors in developing economies (Klapper, L., & Lusardi, A., 2020). While examining the existing research on the behavioural investment of individual investors, the overconfidence bias in investment decision-making, especially in India, is underscored by scant research, and few studies have been undertaken regarding the investment behaviours of Indian investors (Prosad, J. M., Kapoor, S., & Sengupta, J., 2023).

Furthermore, earlier research has often concentrated on institutional or experienced investors, while the behaviour of small and individual investors has received comparatively less attention (Barber, B. M., & Odean, T. 2013). Retail investors have traditionally been perceived as less knowledgeable and possessing a limited comprehension of stock fundamentals, which may lead to irrational financial behaviour and sentiment-driven decisions. The advent of online broking platforms, mobile banking applications, and commission-free trading has transformed the investment landscape, rekindling both commercial and academic interest in retail investors (Pelster, M., Breitmayer, B., & Hasso, T. 2025).

Another important gap is related to the role of investor awareness and access to financial information. With the increasing availability of online trading platforms and digital financial resources, investors now have more access to market data than before (Nag, A. K., & Garg, K. (2023). Despite growing scholarly interest, current research on FinTech and investment behaviour often remains fragmented, exploring technological innovation, investment behaviour, and risk management in isolation without fully addressing their interrelated dynamics (Jain, R., & Kulkarni, R. 2025). More information can be helpful, but it can also make retail investors' trading problems worse (Xu, Q., Yang, H., & Zhang, C. 2024, *Management Science*, 70(8), 5122–5143), and Technologies that spread and automate this kind of information to retail investors make their bad trading instincts worse by making them more confident, which shows the possible downsides of tech-enabled information sharing. (Xu, Q., Yang, H., & Zhang, C. 2024, *Management Science*, 70(8), 5122–5143).

Therefore, this study seeks to fill these gaps by examining the financial, behavioural, and demographic factors that influence individuals' investment decisions in the stock market, with a particular emphasis on individual investors and their decision-making processes. There remains a limited understanding of how behavioural factors operate in diverse market environments and across different investor demographics, and addressing these research gaps is crucial for advancing theoretical frameworks and developing targeted interventions (Taylor & Francis, 2025).

## **Research Design**

The current study employs a descriptive research design to examine the determinants that affect investment decisions in the stock market. The purpose of the present study is to impact of various financial, behavioral, and demographic factors on the decision-making of individual investors. For the current study, descriptive research design is deemed appropriate as it provides insights into the attitudes, preferences, and behaviors of investors when it comes to investing in the stock market. The present research mainly concentrates on individual investors who invest in stock market. In recent times, there has been a sharp rise in the number of individual or retail investors participating in various financial markets such as the National Stock

Exchange of India and the Bombay stock Exchange. Due to this reason, it becomes essential to understand the most significant factors that influence their investment decisions.

**Primary Data Collection Methodology:** Data was collected through a questionnaire administered to the respondents directly. The questionnaire consists of questions relating to topics like financial literacy, risk appetite, investing experience, market understanding, and the impact of behaviour on investing decisions.

### **Secondary Data Sources:**

Few of the data has been collected from various sources such as academic journals, books, financial reports, research papers, and reliable financial websites.

### **Sampling Design**

This study employed a non-probability sampling method, specifically convenience sampling, to select respondents. The sample includes investors who are easy to reach and willing to take part in the survey.

The study's target population is the individual investors who invest or are market. The sample size consists of a selected number of respondents who provide relevant information about their investment behaviour and decision-making patterns.

### **Research Model**

The research model of the study shows that financial factors, behavioural factors, demographic characteristics and investor awareness together affect the investment decision of individual investors in stock market.

The model is built on the assumption that investors are more likely to make informed investment decisions when they have a higher level of financial literacy, access to information, and a balanced view of risk.

### **Data Analysis Techniques**

The collected data has been analyzed using appropriate statistical techniques. Basic tools such as percentage analysis, tables, and charts have been used to summarize the data. In addition, simple statistical methods are applied to identify relationships between different variables and to understand which factors have the strongest influence on investment decisions.

## **Data Analysis and Findings**

**Data Analysis:** The data collected for the study were subjected to statistical tools like percentage analysis, tables and graphical representation. These techniques help in interpreting the responses obtained from the questionnaire and understanding the investment behaviour of individual investors. The analysis mainly focuses on identifying the major financial, behavioural, and demographic factors that influence investment decisions in the stock market.

### **Demographic Profile of Respondents**

#### **Age Distribution:**

Age distribution is the age of the respondents. Table 1 represents the age groups and its related responses.

Table 1: Age distribution

| Age      | Responses | Percentage |
|----------|-----------|------------|
| Below 25 | 81        | 67%        |
| 25-35    | 21        | 17%        |
| 35-45    | 12        | 10%        |
| Above 45 | 7         | 6%         |
| Total    | 124       | 100%       |

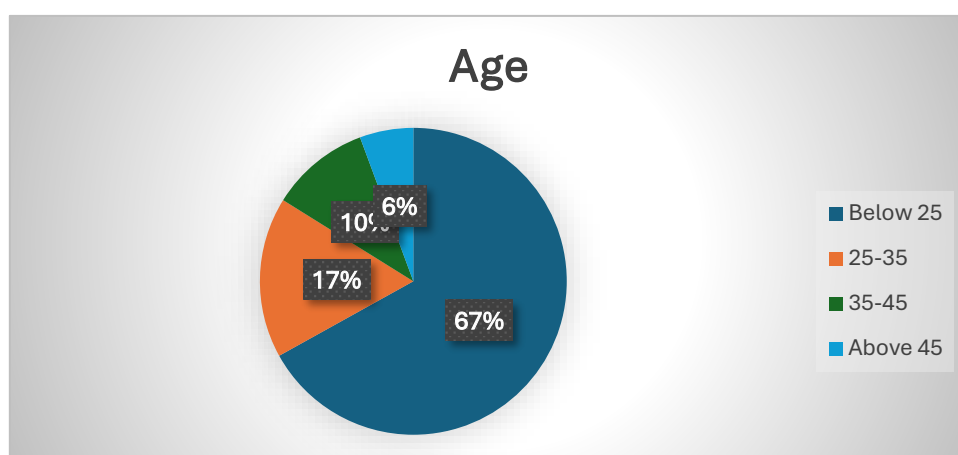


Fig. 1 Age of the respondents

Interpretation: The sample of 124 respondents is dominated by the "Below 25" age group at 67%, followed by "25–35" at 17%, "35–45" at 10%, and "Above 45" at just 6%, reflecting a predominantly young investor base as shown in Fig 1.

### **Gender Distribution:**

Gender distribution is the statistic of the gender of the respondents. Table 2 represents the gender groups and their relative responses.

Table 2: Gender Distribution

| Gender            | Responses | Percentage |
|-------------------|-----------|------------|
| Male              | 68        | 55%        |
| Female            | 49        | 39%        |
| Prefer not to say | 7         | 6%         |
| Total             | 124       | 100%       |

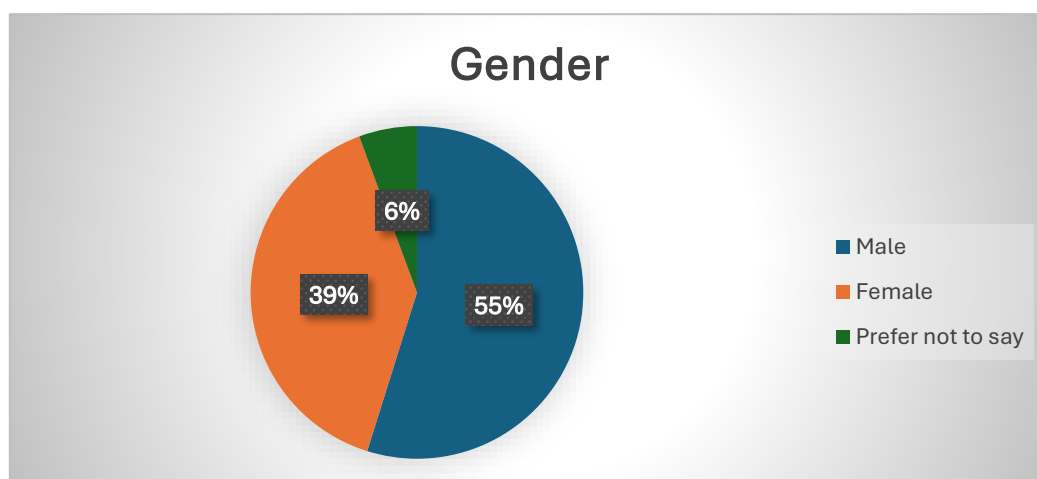


Fig. 2 Gender distribution of the respondents

Interpretation: Out of 124 respondents, 55% are male, 39% female, and 6% preferred not to disclose their gender. While male investors remain predominant, the notable female representation suggests growing participation of women in stock market investment as shown in figure 2.

### **Educational qualification:**

Educational qualifications refer to the academic credentials attained by the respondents. Table 3 represents the educational qualifications and their responses accordingly

Table 3: Educational qualifications distribution

| Educational Qualifications | Responses | Percentage |
|----------------------------|-----------|------------|
| Undergraduate              | 69        | 56.6%      |
| Postgraduate               | 27        | 21.3%      |
| Professional Degree        | 19        | 14.8%      |
| Others                     | 9         | 7.4%       |
| Total                      | 124       | 100%       |

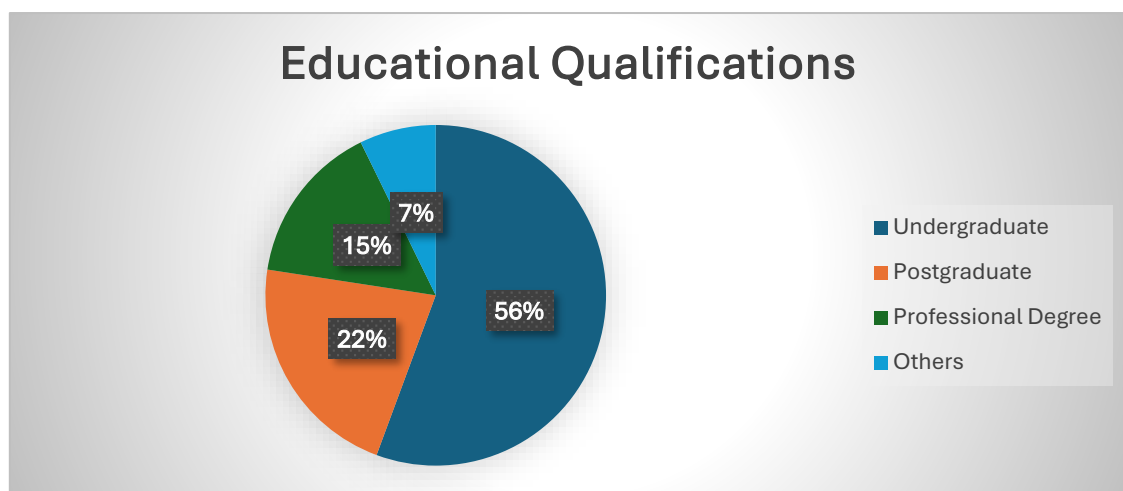


Fig. 3 Educational Qualifications of the Respondents

Interpretation: Out of 124 respondents, 56% hold an undergraduate degree, followed by postgraduates at 22%, professional degree holders at 15%, and others at 7% as shown in figure 3. The dominance of undergraduates aligns with the previously observed younger age profile, suggesting many respondents are students or recent graduates entering the stock market.



### **Occupation of the Respondents:**

Occupation of the respondents refer to the work respondents do for a living. Table 4 represents the occupations and the responses of the respondents

Table 4: Occupation Distribution

| Occupation        | Responses | Percentage |
|-------------------|-----------|------------|
| Student           | 75        | 60%        |
| Salaried Employee | 23        | 19%        |
| Business          | 14        | 11%        |
| Self Employed     | 8         | 7%         |
| Others            | 4         | 3%         |
| Total             | 124       | 100%       |

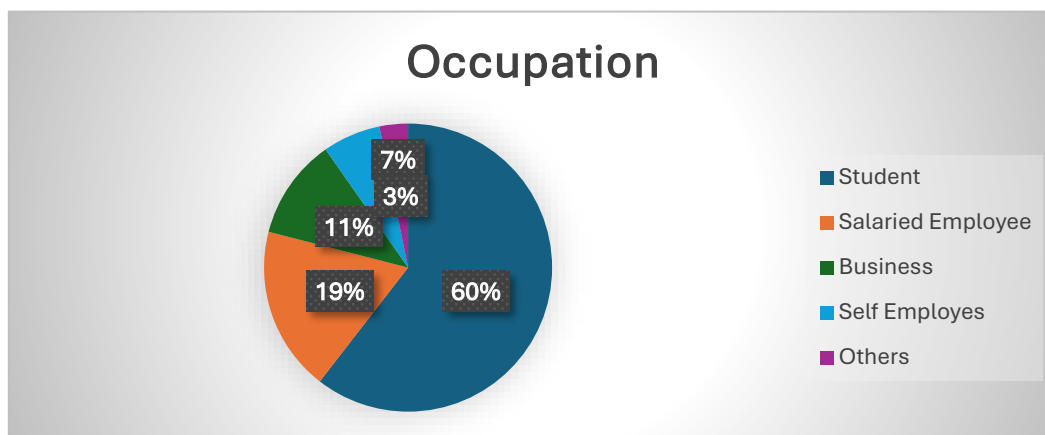


Fig. 4 Respondents' Occupation

Interpretation: Out of the 124 people who answered 60% are students, consistent with the sample's young and undergraduate profile. Salaried employees follow at 19%, then business owners at 11%, self-employed at 7%, and others at 3%, suggesting strong investment interest among students, likely driven by greater financial awareness and easy access to digital trading platforms as shown in figure 4.

### **Monthly income:**

Monthly income is the amount of money that the respondents make each month. Table 5 shows the income range and the answers from the people who took the survey.

Table 5: Monthly Income Distribution

| Monthly Income | Responses | Percentage |
|----------------|-----------|------------|
| Below 25000    | 63        | 54%        |
| 25000-50000    | 24        | 20%        |
| 50000-75000    | 12        | 10%        |
| Above 75000    | 25        | 16%        |
| Total          | 124       | 100%       |

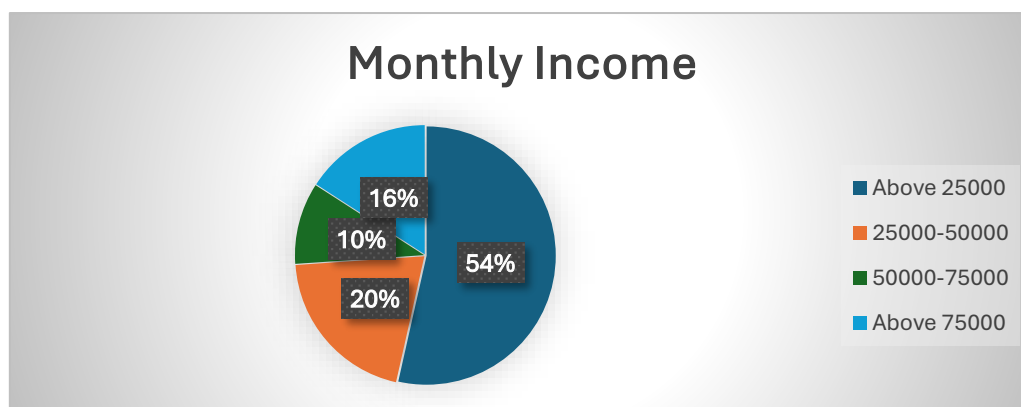


Fig. 5 Respondents' monthly income distribution

Interpretation: Out of 124 respondents, 54% earn below ₹25,000 monthly, consistent with the student-heavy sample. The ₹25,000–₹50,000 bracket accounts for 20%, followed by above ₹75,000 at 16%, and ₹50,000–₹75,000 at 10%. This reflects a largely lower-income sample, though the presence of higher-income respondents indicates stock market participation across varied income levels as shown in figure 5.

## **Investment Profile**

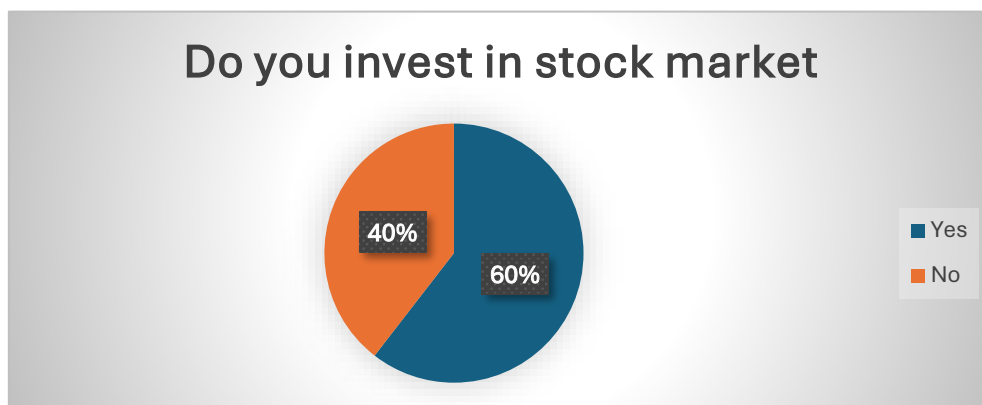
Financial considerations are one of the most important determinants of investment decisions.

### **Stock market investment**

Stock market investing is essentially buying ownership (shares) in companies with the goal of growing your money over time. Table 6 represents the answer and the respondent's choice.

Table 6: Investment participation

| Do they invest | Responses | Percentage |
|----------------|-----------|------------|
| Yes            | 75        | 60%        |
| No             | 49        | 40%        |
| Total          | 124       | 100%       |



**Fig.6 Distribution of the respondents investing in the stock market**

Interpretation: Out of 124 respondents, 60% actively invest in the stock market while 40% do not. This reflects growing retail investor participation among younger, educated individuals, while the substantial non-investor segment points to potential barriers such as limited financial knowledge, risk aversion, or insufficient income as shown in figure 6.

### **Respondents' Investment Experience:**

This covers the investment experience of the respondents in years. Table 6 represents the investment experience and the respondents' response.

Table 7: Investment Experience Distribution

| Investment Experience | Responses | Percentage |
|-----------------------|-----------|------------|
| Less than a year      | 70        | 57%        |
| 1-3 years             | 37        | 30%        |
| 3-5 years             | 13        | 10%        |
| More than 5 years     | 4         | 3%         |
| Total                 | 124       | 100%       |

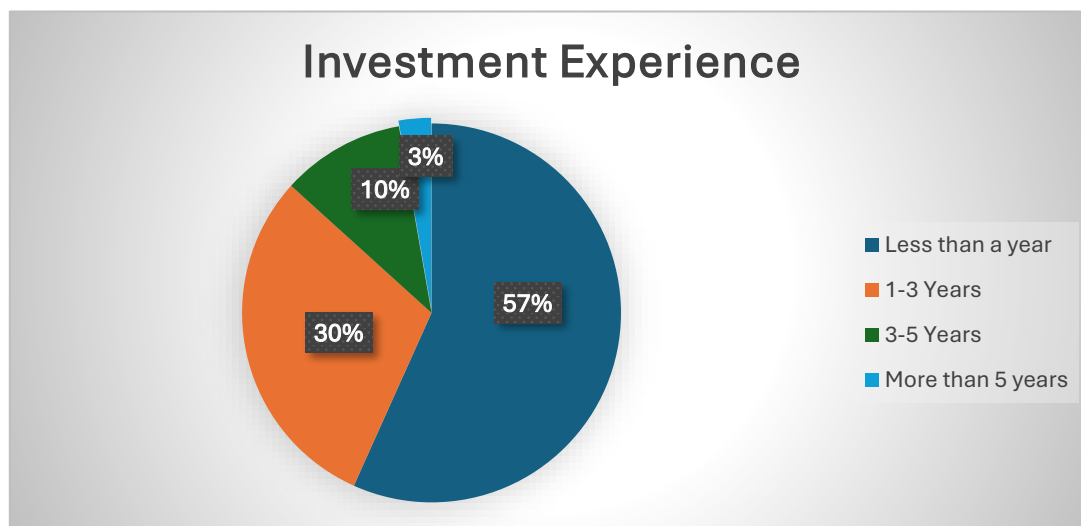


Fig.7 Distribution of investment experience of the respondents

Interpretation: Out of 124 respondents, 57% have less than a year of investment experience, followed by 30% with 1–3 years, 10% with 3–5 years, and just 3% with over 5 years. This novice-heavy profile aligns

with the sample's young, student-dominated demographic, underscoring the importance of understanding what drives decision-making among newer retail investors as shown in figure 7.

**Preferred investment avenue of the respondents:**

Investment avenue refers to the kinds of securities that people buy and sell on the stock market. Investors choose their preferred investment avenue. Table 8 represents the investment avenues and respondents' preferences in their responses

Table 8: Preferred Investment Avenue

| Preferred Investment Avenue | Responses | Percentage |
|-----------------------------|-----------|------------|
| Equity Shares               | 39        | 20%        |
| Bonds/Debentures            | 28        | 14%        |
| Mutual Funds                | 41        | 21%        |
| Fixed Deposits              | 32        | 17%        |
| IPOs                        | 28        | 14%        |
| Others                      | 27        | 14%        |
| Total                       | 124       | 100%       |

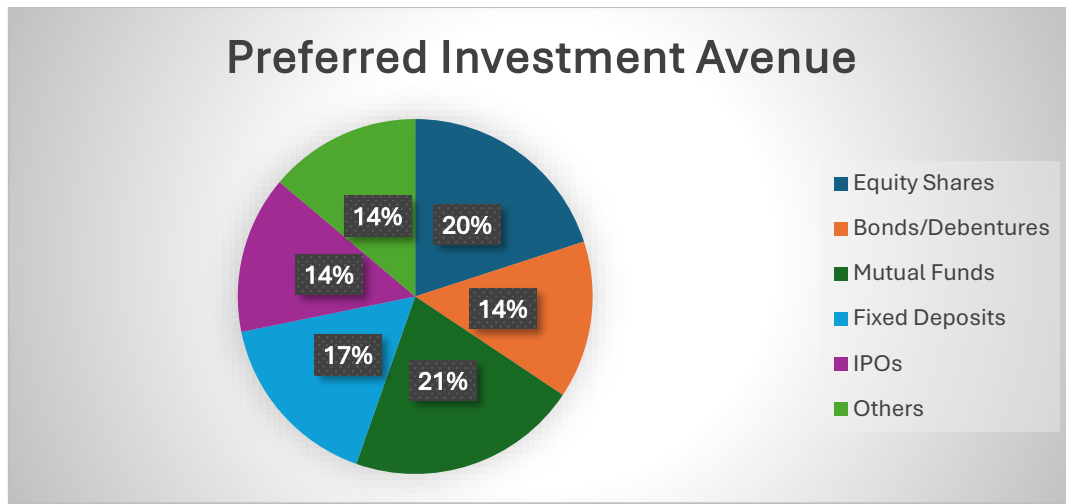


Fig.8 Distribution of preferred investment avenue respondents

Interpretation: Mutual funds are the most preferred investment avenue at 21%, equity shares are next at 20%, followed by fixed deposits at 17%. IPOs, bonds/debentures, and other options each account for approximately 14%, making them the least favoured. This distribution suggests a mix of preferences, with many respondents leaning toward diversified or safer instruments alongside direct market participation as shown in figure 8.

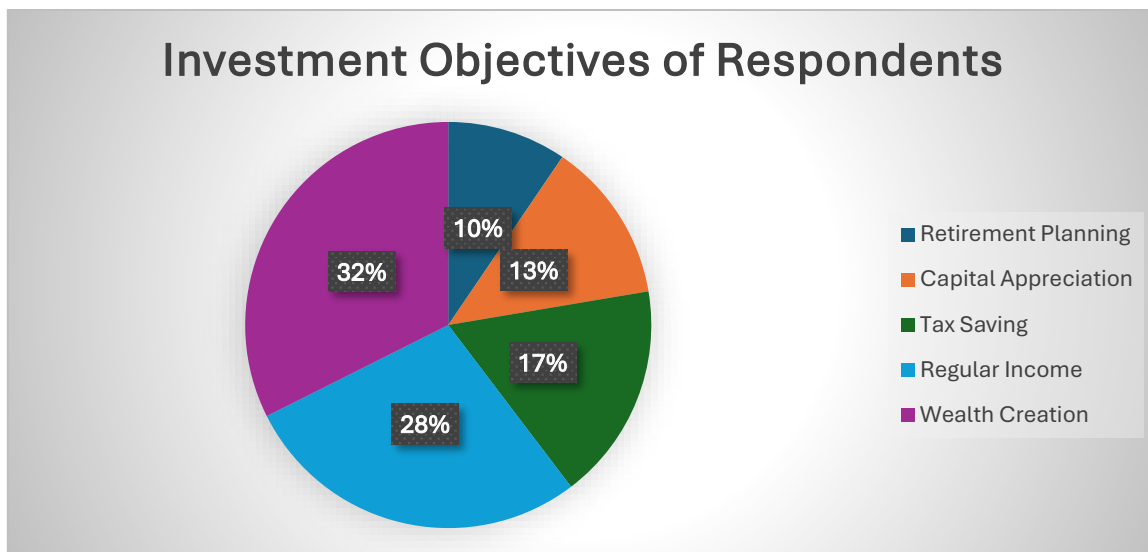
#### **Investment Objectives of the respondents:**

Every investor has an objective they want to achieve through investing in the stock market. Table 9 represents the common objectives that the respondents choose on why they invest along with the responses with the respondents.

Table 9 : Investment objective distribution

| Investment Objectives | Responses | Percentage |
|-----------------------|-----------|------------|
| Retirement Planning   | 17        | 10%        |
| Capital Appreciation  | 23        | 13%        |
| Tax Saving            | 31        | 17%        |
| Regular Income        | 50        | 28%        |
| Wealth Creation       | 58        | 32%        |

|       |     |      |
|-------|-----|------|
| Total | 124 | 100% |
|-------|-----|------|



#### 9. Distribution of Investment objectives of respondents

Interpretation: **Wealth Creation** dominates at 32%, followed by **Regular Income** at 28% together accounting for over 60% of responses. **Retirement Planning** is the least preferred at just 10%, suggesting respondents are more focused on immediate or medium-term financial goals than long-term security as shown in figure 9.

#### Factors Influencing Investment Decisions

In addition to financial factors, behavioural aspects significantly influence investment choices.

#### Risk and Return influence on investment Decision of the respondents:

Risk and Return can influence the decisions that investors make at the time of choosing an avenue or deciding whether to invest or not. Table 10 represents the likelihood of the respondents of being influenced by the risk and return and their responses.

Table 10: Risk and Return influence

| Influence by risk and return | Responses | Percentage |
|------------------------------|-----------|------------|
| Strongly Disagree            | 15        | 12%        |

|                |     |      |
|----------------|-----|------|
| Disagree       | 16  | 13%  |
| Neutral        | 44  | 35%  |
| Agree          | 31  | 25%  |
| Strongly Agree | 18  | 15%  |
| Total          | 124 | 100% |

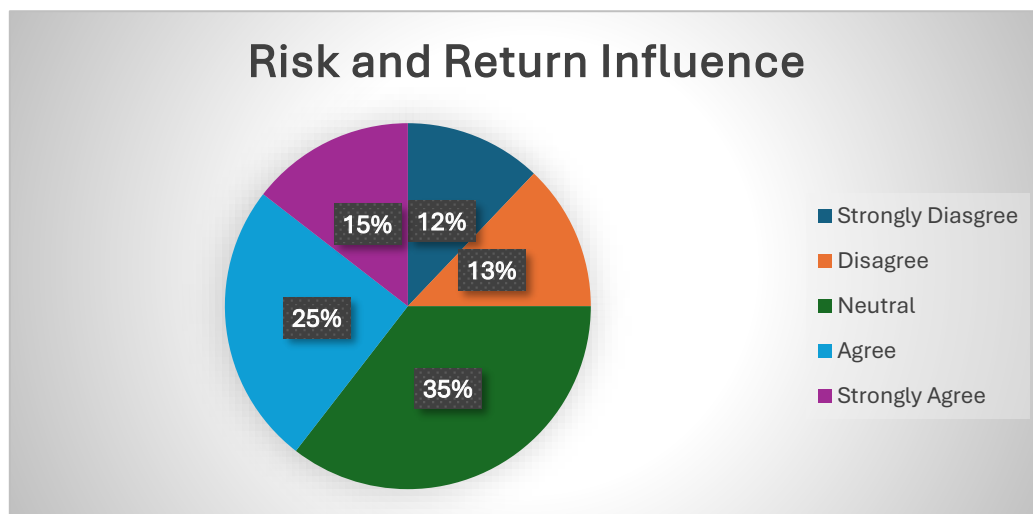


Fig 10. Distribution of respondents who get influenced by risk and return

Interpretation: The Influence of Risk and Return on Investment Decisions, 44 respondents (35%) remained neutral, while 31 agreed and 18 strongly agreed. On the other end, 16 disagreed and 15 strongly disagreed, totalling 25% who do not view risk and return as significant factors, reflecting a mixed and moderately positive overall sentiment as shown in figure 10.

#### **Market Trends and Economic conditions affect the decisions of the respondents:**

Market Trends and the Economics conditions of a country affect the investment, and it may also affect the decision of the investor. Table 11 represents the likelihood of the respondents' change in investment decisions and their responses



Table 11: Market Trends and Economy's effect

| Market Trends and Economics effect | Responses | Percentage |
|------------------------------------|-----------|------------|
| Strongly Disagrees                 | 13        | 12%        |
| Disagree                           | 14        | 13%        |
| Neutral                            | 39        | 35%        |
| Agree                              | 34        | 25%        |
| Strongly Agree                     | 24        | 15%        |
| Total                              | 124       | 100%       |

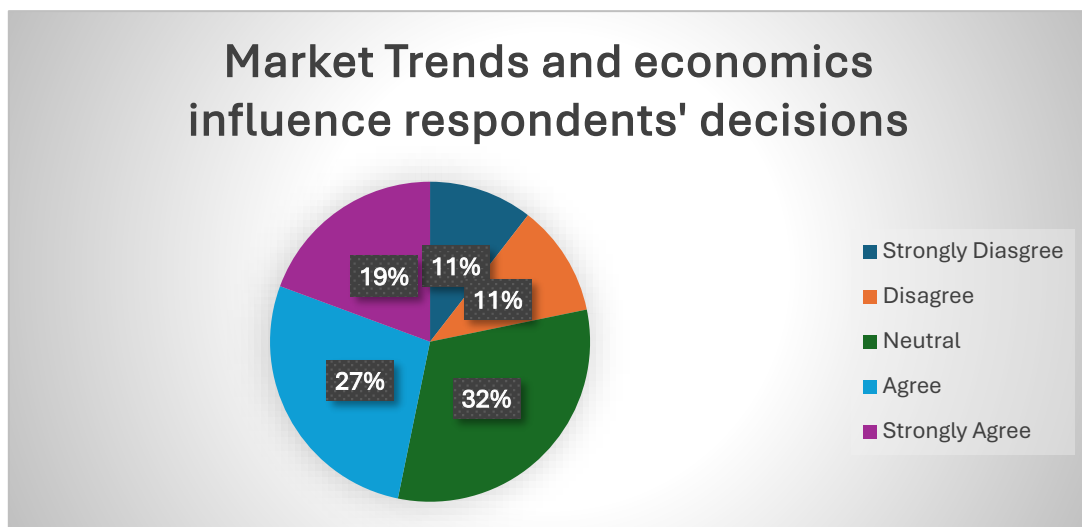


Fig.11 Respondents whose decisions are affected by market trends and economics

Interpretation: Out of 124 respondents, 46% agreed or strongly agreed that market trends and economic conditions influence their investment decisions — the highest agreement level observed so far. Another 32% remained neutral, while only 22% disagreed or strongly disagreed, indicating a modestly positive recognition of macroeconomic factors in investment decisions as shown in figure 11.

### **Influence of Financial Advisors on the respondents:**

Financial Advisors can influence the decisions related to investment of the investors. Table 12 represents the likelihood of influence of financial advisors as well as the responses of the respondents.

Table 12: Financial advisor's influence

| Influence of financial advisors | Responses | Percentage |
|---------------------------------|-----------|------------|
| Strongly Disagree               | 15        | 12%        |
| Disagree                        | 14        | 11%        |
| Neutral                         | 41        | 33%        |
| Agree                           | 30        | 24%        |
| Strongly Agree                  | 24        | 20%        |
| Total                           | 124       | 100%       |

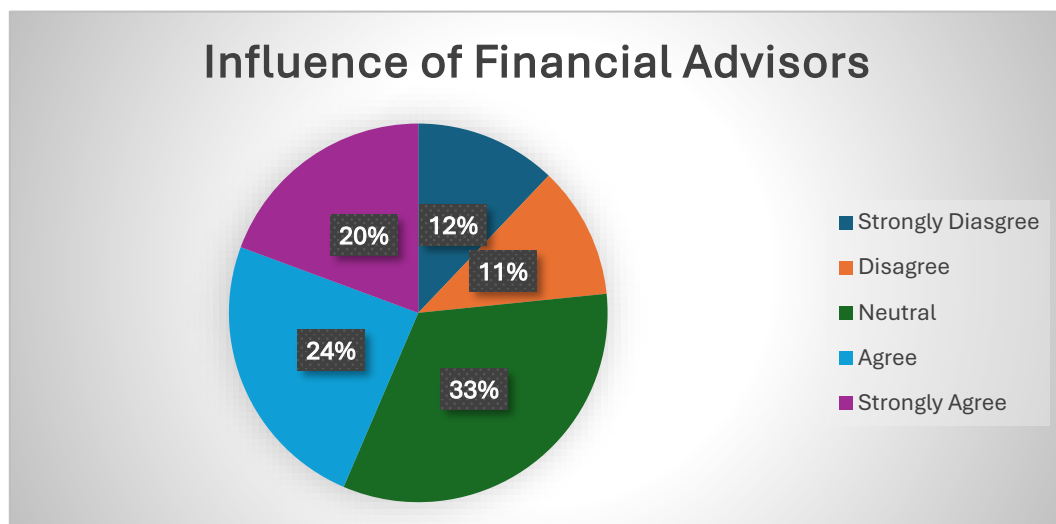


Fig.12 Distribution of respondents influenced by financial advisors

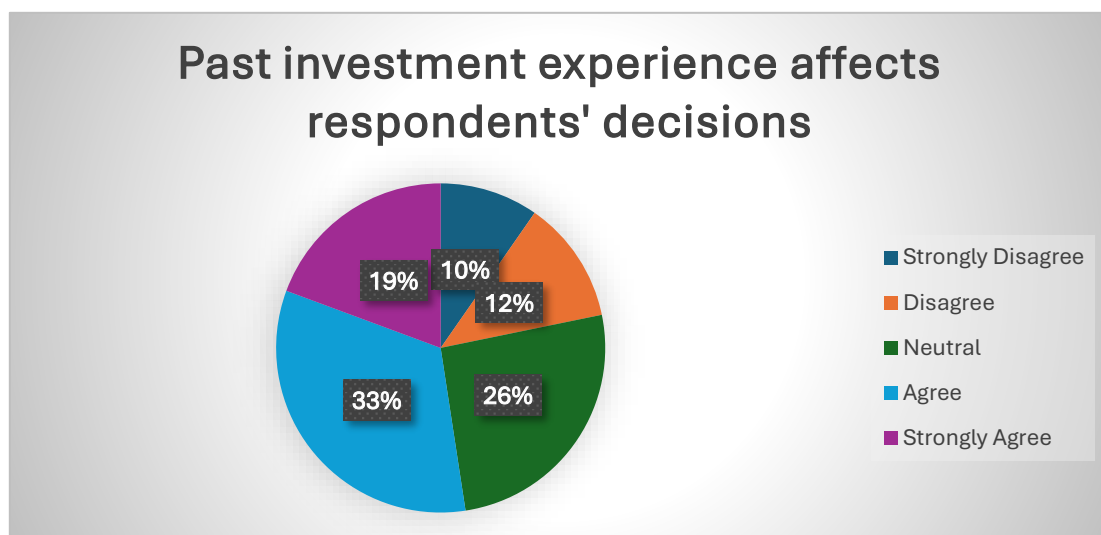
Interpretation: Out of 124 respondents, 44% agreed or strongly agreed that financial advisor advice influences their investment decisions, while 33% remained neutral and 23% disagreed or strongly disagreed. The high neutral response suggests considerable uncertainty about the role of financial advisors, reflecting a moderately positive but divided outlook as shown in figure 12.

**Past investment experience affects respondents' decisions:**

The experience an investor has can affect their decision in future investment by recognising patterns and fluctuations. Table 13 represents the effect likeliness of having prior investment experience and the responses of the respondents

Table 13 : Past investment experience effect

| Past investment experience affects decisions | Responses | Percentage |
|----------------------------------------------|-----------|------------|
| Strongly Disagree                            | 12        | 10%        |
| Disagree                                     | 15        | 12%        |
| Neutral                                      | 32        | 26%        |
| Agree                                        | 41        | 33%        |
| Strongly Agree                               | 24        | 19%        |
| Total                                        | 124       | 100%       |



**Fig.13 Influence on respondents' decisions on past investment experience**

Interpretation: Out of 124 respondents, 52% agreed or strongly agreed that past investment experience influences their current decisions, while 26% remained neutral and 22% disagreed or strongly disagreed.

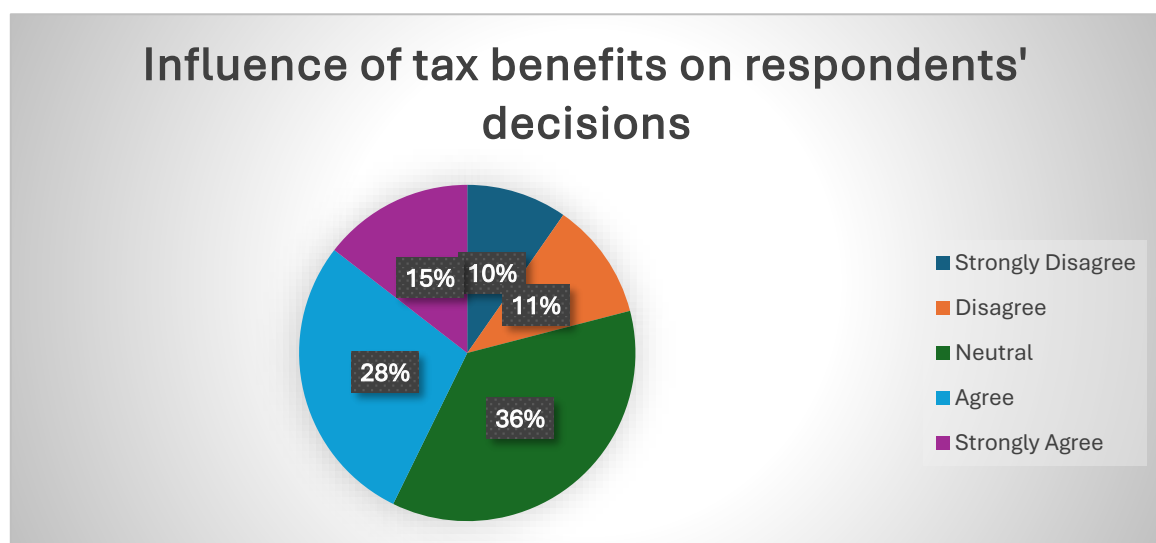
This clearly positive trend shows that experiential learning has a significant impact on how the sample invests, as seen in figure 13.

**Tax benefits influence respondents' investment decisions:**

The benefits of tax influence the investors decisions and it is also one of the deciding factors while investing. Table 14 represents the likelihood of investors being influenced by the tax benefits and the respondents' answer.

Table 14 : Tax Benefits influence

| Influence of tax benefits | Responses | Percentage |
|---------------------------|-----------|------------|
| Strongly Disagree         | 12        | 10%        |
| Disagree                  | 14        | 11%        |
| Neutral                   | 45        | 36%        |
| Agree                     | 35        | 28%        |
| Strongly Agree            | 18        | 15%        |
| Total                     | 124       | 100%       |



**Fig. 14 Distribution of respondents' decisions influenced by tax benefits**

Interpretation: Out of 124 respondents, 43% agreed or strongly agreed that tax benefits influence their investment decisions, while 36% remained neutral and 21% disagreed or strongly disagreed. The high neutral response indicates considerable indecision around tax benefits as an investment motivator, reflecting a moderately positive but uncertain overall sentiment as shown in figure 14.

### **Risk Attitude:**

The further study shows Risk Attitude of the respondents.

### **Risk-taking ability of the respondents:**

The risk-taking ability of an investor shows how much risk they are willing to take for returns, whether they are high, low, or moderate. Table 15 represents the risk-taking threshold and the response of the respondents.

Table 15: Risk-taking ability distribution

| Risk-taking ability | Responses | Percentage |
|---------------------|-----------|------------|
| Low                 | 31        | 25%        |
| Moderate            | 79        | 64%        |
| High                | 14        | 11%        |
| Total               | 124       | 100%       |

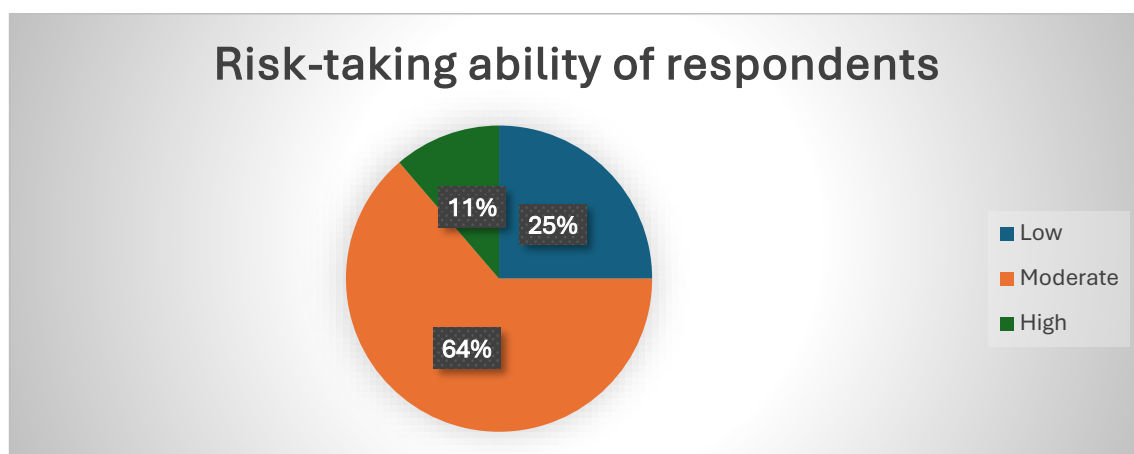


Fig.15 Distribution of risk-taking ability of the respondents

Interpretation: The risk-taking ability distribution reveals that most respondents (79) describe themselves as having “Moderate” risk tolerance, followed by “Low” risk tolerance with 31 respondents, and “High-risk” tolerance forming the smallest group with only 14 respondents. Overall, the sample is predominantly composed of moderately risk-tolerant investors, suggesting that most respondents are willing to accept some degree of market risk while remaining cautious about excessive financial uncertainty as shown in figure 15.

**Preference of Respondents on low-risk and low returns:**

Often low-risk investment yields lower returns which people might prefer differing from each other. Table 16 represents the preference of investing in a ‘low risk-low return’ investment and the response of the respondents.

Table 16 : Low-risk low-returns preference distribution

| Preference on low-risk low returns | Responses | Percentage |
|------------------------------------|-----------|------------|
| Strongly Disagree                  | 16        | 13%        |
| Disagree                           | 28        | 22%        |
| Neutral                            | 43        | 35%        |
| Agree                              | 31        | 25%        |
| Strongly Agree                     | 6         | 5%         |
| Total                              | 124       | 100%       |

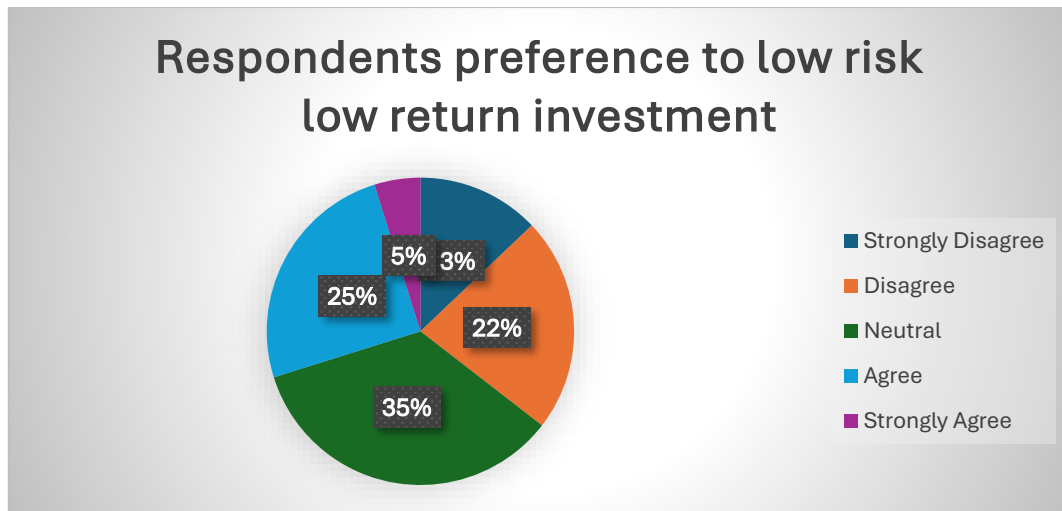


Fig. 16 Respondents who prefer low risk & low returns

Interpretation: Out of 124 respondents, 35% remained neutral on preferring low-risk investments, while 35% disagreed or strongly disagreed and 30% agreed or strongly agreed. This near-even split between risk-tolerant and risk-averse respondents, alongside the large neutral group, suggests that investment risk preference remains largely unsettled within the sample as shown in figure 16.

**Are the respondents satisfied with their stock market investments:**

Investors seek satisfaction from their investment which is also their objective while investing. Table 17 represents the respondents' responses whether they are satisfied with their investments or not.

Table 17

| Satisfaction with stock market investment | Responses | Percentage |
|-------------------------------------------|-----------|------------|
| Yes                                       | 59        | 48%        |
| No                                        | 31        | 25%        |
| Maybe                                     | 34        | 27%        |
| Total                                     | 124       | 100%       |

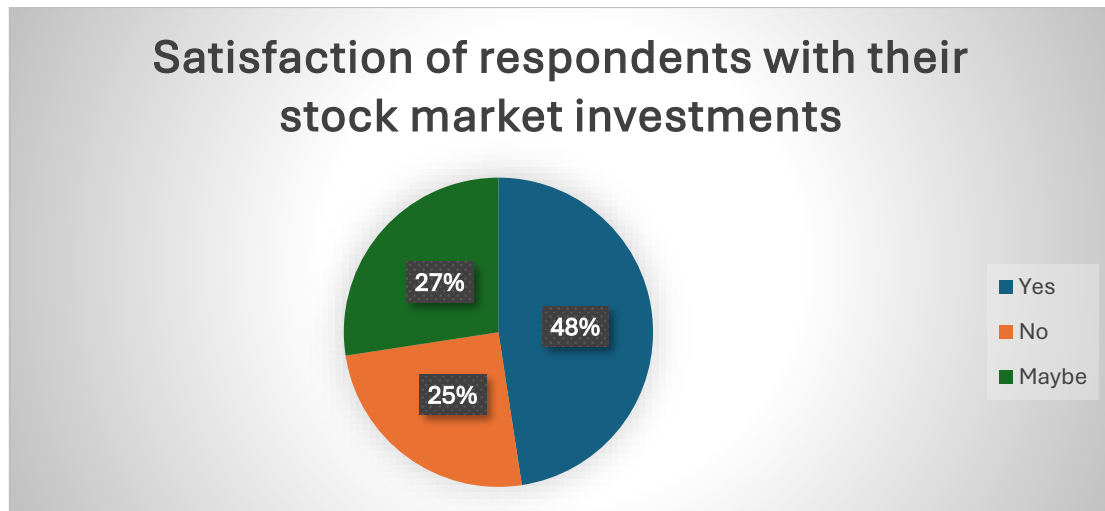


Fig. 17 Distribution of satisfaction of respondents with their investments

Interpretation: Out of the respondents, 48% are satisfied with their stock market investments, 27% are uncertain, and 25% are dissatisfied. While nearly half report a positive experience, the substantial proportion of uncertain and dissatisfied investors highlights that stock market outcomes remain mixed within the sample as shown in figure 17.

**Would the respondents increase their investment in the future:**

Some investors prefer increasing their investment and some prefer to not increase it. Table 18 represents the likelihood of the respondents' investment increment decision.

Table 18 : Investment increment likelihood

| Investment increment likelihood | Responses | Percentage |
|---------------------------------|-----------|------------|
| Yes                             | 58        | 47%        |
| No                              | 31        | 25%        |
| Maybe                           | 35        | 28%        |
| Total                           | 124       | 100%       |



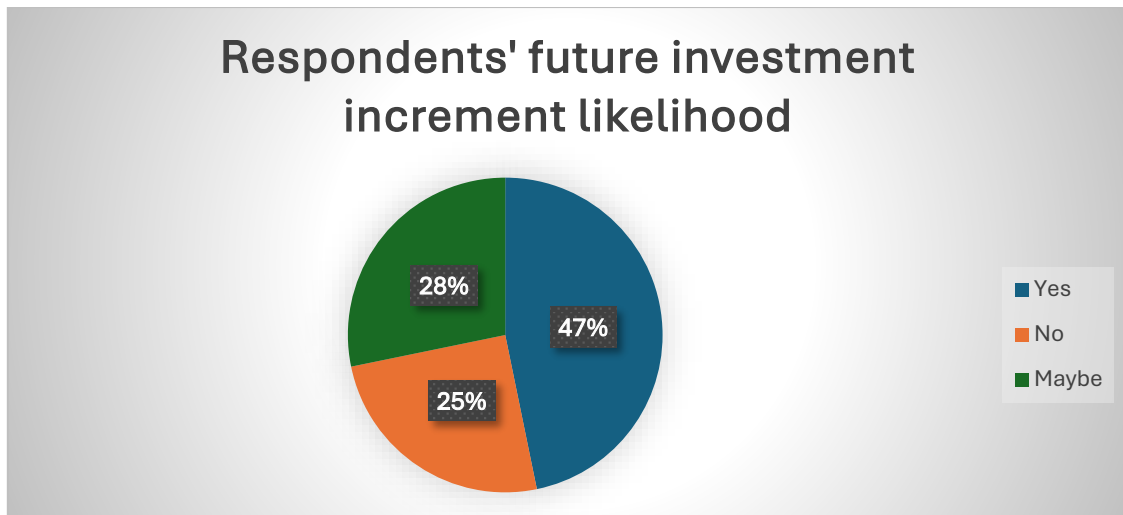


Fig. 18 Distribution of respondents' future investment likelihood

Interpretation: Out of 124 respondents, 47% plan to increase their investments in the future, 28% are uncertain but open to it, and 25% do not intend to do so. This generally optimistic outlook, despite a notable share of undecided and reluctant investors, suggests a prevailing willingness to deepen stock market engagement going forward as shown in figure 18.

### **Findings of the Study**

Based on the analysis of the collected data, several important findings have been identified:

The expected return and the level of risk are the two most important financial factors that affect stock market investment decisions.

Younger and educated individuals show greater participation and interest in stock market investments.

Investors often consider company performance, financial stability, and market trends before making investment decisions.

Behavioural factors such as herd behaviour, overconfidence, and emotional influence significantly affect investor decision-making.

Many people who invest money rely on what other people tell them news about money and things they find online to help them decide how to invest their money.

A lot of people are using the internet to buy and sell stocks and shares because it is easy to get to these websites.

People who understand money and no what is going on with the usually make choices when they invest.

When people decide how to invest their money it is not one thing that makes them decide it is a lot of things like how much money they have what kind of person they are and how old they are.

The study also shows that it is very important to teach people about money and how they invest so they can make choices about wet to put their money and this will really help them with their investments and money.

## **Conclusion**

The aim of this study was to explore the different factors that affect individuals' investment choices in the stock market. The findings show that investment decisions are influenced by a mix of financial, behavioural, and demographic factors. Investors do not depend on just one factor when selecting investment opportunities. Instead, their decisions are shaped by several considerations that together influence their investment behaviour.

The factor such as expected return, risk level, performance of the company as well as the status of the market have to be considered when investing. Most investors take time before making their investment so as to consider all the risk and benefits involving in making their investment.

In addition to financial aspect their certain behavioural aspect that player crucial role in decision making for investors. For example there are certain investors who are motivated by psychological factors such as self confidence, reaction to market behaviour as well as herd mentality. This may result in decision making that is given by emotions rather than logical analysis of financial situation.

There are demographic aspects that influence stock market investments. Factors such as age, education, income level, investment experience player critical role in influencing the investment behaviour of the individual. According to the study young and highly educated investors are likely to involved themselves in stock market investments in they have more access to financial information.

Another significant discovery from the study is the increasing significance of finance knowledge and information in affecting the behaviour of investors. As a result of developments in technology, it has become easy for individuals to access information and engage in the activities of the stock market by using different digital means such as trading platform, finance news, and financial websites. Two instances where this has occurred are the National Stock Exchange of India and the Bombay stock Exchange.

Generally, the above findings show that making good investment decisions is possible only by having a proper understanding of finance, market situation, and human behaviour. The ability of an individual to

make sound investments decisions will be enhanced as much as they gain information concerning money and investor behaviour.

## **Future Scope of the Study**

This research provides valuable insight into various factors that affect the choice of investments in the stock market. Nevertheless, it is clear that there are many other topics for future research in order to further expand knowledge of the matter and enhance the efficiency of investor actions.

One possible topic for future research would be to conduct the experiment using a wider sample that included people from various regions, professions and social economic backgrounds. It might give more comprehensive information about the ways in which the habits of investors differ depending on their particular demographic characteristics.

Another aspect that would be interesting to study is the growing impact of various technologies on investment behaviour. The rapid development of online trading platforms, smartphone applications and other forms of digital advice about investments has greatly transformed the field of finance. It might be interesting to investigate the role of these technological advancements in forming attitudes and making decisions in relation to financial markets.

The role of behavioural finance can also be examined by researchers in greater detail. Psychological characteristics of people such as biases, emotions and sentiments can play a significant role in shaping their decision, making patterns despite the availability of proper financial information.

Moreover, comparative analysis among different classes of investors such as experienced and novice retail investors can also be carried out to determine the influence of knowledge, experience, and risk appetite on the strategy for investors behave and make decisions.

Overall, conducting future research on this topic can help in understanding the numerous factors affecting investment decisions. The outcomes of these forthcoming studies can assist policymakers, financial institutions, and educationalists in developing strategies that promote responsible investments among investors.

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## Annexure

### Questionnaire:

The present research study is primarily based on the data collected through a structured questionnaire. The questionnaire was designed to gather relevant information from individual investors regarding the various factors influencing their investment decisions in the stock market.

The research was conducted based on the following questions:

1. What is your Age?
2. What is your Gender?
3. What are your Educational Qualifications?
4. What is your Occupation?
5. What is your monthly income?
6. Do you invest in Stock Market?
7. What is your investment experience?
8. What is your preferred Investment Avenue?
9. What are your Investment Objectives?

The following include 5-point Likert scale questions ranging from Strongly Agree to Strongly Disagree:

10. Risk and Return influence your investment decision making
11. Market trends and economic conditions affect your decisions

12. Advice from Financial Advisor influences you
13. Past investment experience affects your current decisions
14. Tax benefits influence your investment decisions

**Risk Attitude:**

15. How would you describe your risk-taking ability?
16. I prefer low-risk investments even if returns are lower.
17. Are you satisfied with your stock market investments?
18. Would you increase your investment in the future?

A total of 124 responses were collected and considered for the purpose of conducting this research.